Provision for Income Taxes

No provision for income taxes has been made by the Partnership as the Partnership is not directly subject to taxation. The partners are to report their respective shares of Partnership income or loss on their individual tax returns.

The accompanying financial statements are prepared using accounting principles generally accepted in the United States which may not equate to tax accounting. The cost of investments on a tax basis at December 31, 2005 and 2004, was $15,783,258 and $15,894,365, respectively. At December 31, 2005 and 2004, gross unrealized appreciation and depreciation on investments based on cost for federal income tax purposes were as follows:

	December 31, 2005	December 31, 2004
Unrealized appreciation	428	$ 216,293
Unrealized depreciation	(11,925,869)	(9,513,188)
Net unrealized depreciation	(11,925,441)	$(9,296,895)